



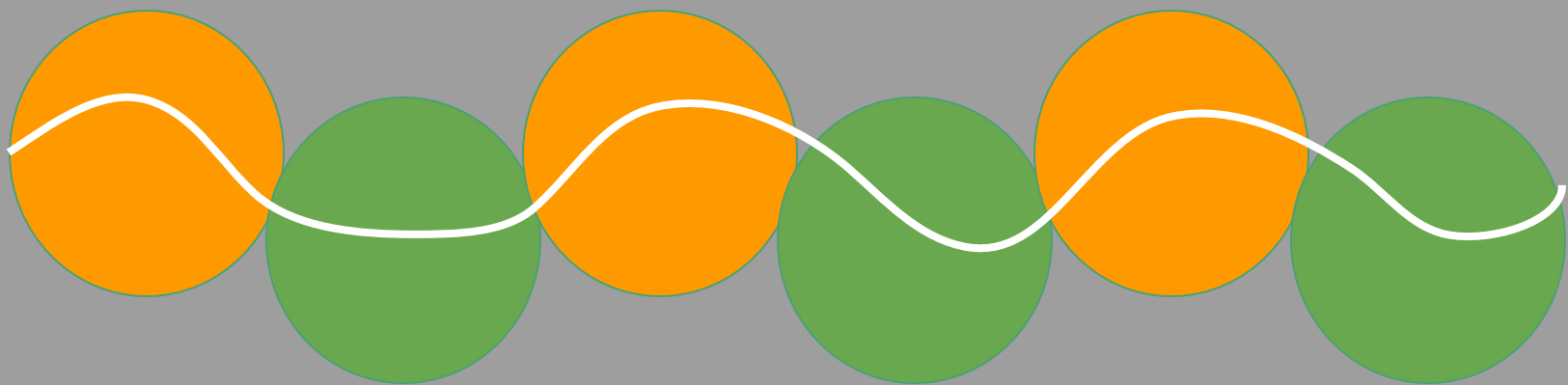
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Indian Contract Act, 1872

...



Section 10



Essentials of a Valid Contract

Agreement

Free Consent

Lawful Consideration

Parties are Competent

Legality of Object

Legal Relationship

**Agreement not explicitly
declared to be void**

Consensus ad idem

**Certain and Capable of
Performance**

Legal Formalities

Practice- MCQs

...

A _____ is said to be free when the parties to the contract agree to the same thing in the same sense.

- a. Consent
- b. Contract
- c. Agreement

A _____ is said to be free when the parties to the contract agree to the same thing in the same sense.

- a. Consent
- b. Contract
- c. Agreement

A contract without _____ is void.

- a. Cash
- b. Consideration
- c. Indemnity
- d. Guarantee

A contract without _____ is void.

- a. Cash
- b. Consideration
- c. Indemnity
- d. Guarantee

A person who makes a proposal is known as _____.

- a. Promisor
- b. Principal debtor
- c. Surety
- d. Guarantor

A person who makes a proposal is known as _____.

- a. Promisor
- b. Principal debtor
- c. Surety
- d. Guarantor

A person is said to be competent to contract if _____ .

- a. He is a major
- b. He is of sound mind
- c. He is a major and of sound mind

A person is said to be competent to contract if _____ .

- a. He is a major
- b. He is of sound mind
- c. He is a major and of sound mind

A enters into an agreement with B to rob C and share the money. B runs away with all the money. A can file a suit against B to recover the money.

- a. True
- b. False

A enters into an agreement with B to rob C and share the money. B runs away with all the money. A can file a suit against B to recover the money.

- a. True
- b. False

Mr. X (aged 17) can enter into an agreement with Mr. Y (aged 25) to buy a car.

- a. True
- b. False

Mr. X (aged 17) can enter into an agreement with Mr. Y (aged 25) to buy a car.

- a. True
- b. False

A contract is concluded only when the party to whom the proposal is made, accepts the proposal.

- a. True
- b. False

A contract is concluded only when the party to whom the proposal is made, accepts the proposal.

- a. True
- b. False

A's son has forged B's name to a promissory note. B under threat of persecuting A's son, obtains a bond from A for the amount of the forged note. If B sues on this bond, the Court may set the bond aside on what grounds?

- a. Agreement
- b. Free Consent
- c. Lawful Consideration
- d. Parties are Competent

A's son has forged B's name to a promissory note. B under threat of persecuting A's son, obtains a bond from A for the amount of the forged note. If B sues on this bond, the Court may set the bond aside on basis of one of the Essentials of Valid missing. Which one is it?

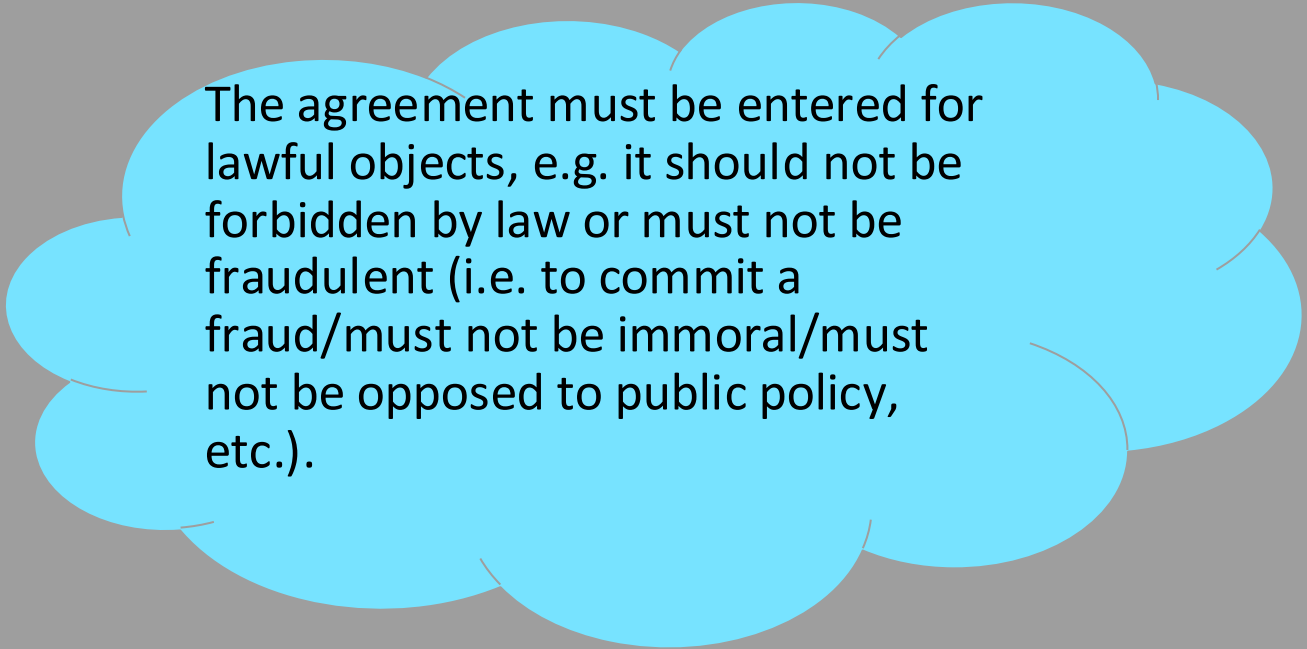
- a. Agreement
- b. Free Consent
- c. Lawful Consideration
- d. Parties are Competent

A finds B's watch and gives it to him. B promises to give A a sum of Rs. 100.
Is this a contract?

- a. Yes
- b. No

A finds B's watch and gives it to him. B promises to give A a sum of Rs. 100.
Is this a contract?

- a. Yes
- b. No



The agreement must be entered for lawful objects, e.g. it should not be forbidden by law or must not be fraudulent (i.e. to commit a fraud/must not be immoral/must not be opposed to public policy, etc.).

A patient in a lunatic asylum, who is at intervals of sound mind, may contract during those intervals.

- a. True
- b. False

A patient in a lunatic asylum, who is at intervals of sound mind, may contract during those intervals.

- a. True
- b. False

A agrees to sell to B 50 tons of metal for Rs. 60 Crore. However, there is nothing in the agreement to show what kind of metal is intended. The agreement is void for uncertainty. A agrees with B to bring back to life B's dead infant son, the agreement is _____

- a. Void as it is impossible of performance
- b. Voidable at the option of B
- c. Valid because it has all the essentials of valid Contract
- d. Under undue influence and therefore Void

Contract of Indemnity

...



PARTIES :-

1. INDEMNIFIER

WHO PROMISES TO SAVE FROM THE LOSS.

2. INDEMNITY HOLDER

(OR)

INDEMNIFIED

WHOSE LOSS IS TO BE MADE GOOD.

X

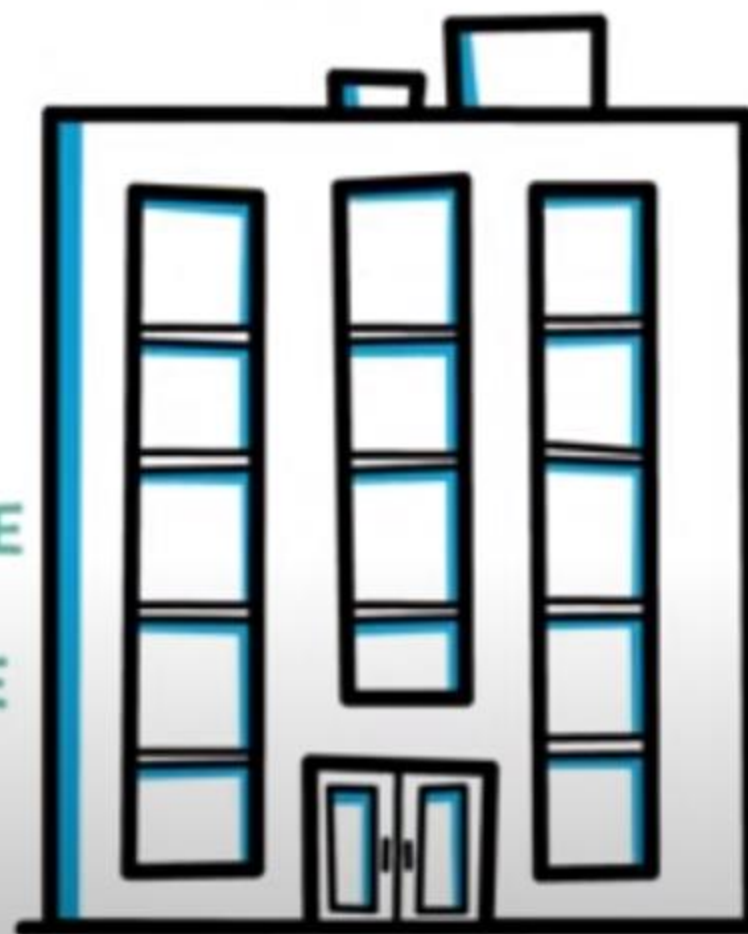


SHARE HOLDER

I LOST MY SHARE
CERTIFICATE.
PLEASE ISSUE A
DUPLICATE CERTIFICATE.

IF ANYONE BRINGS
ORIGINAL CERTIFICATE
AND COMPANY HAS
LOSS. YOU WILL HAVE
TO COMPENSATE
AGAINST THE LOSS.

COMPANY



Rights of Indemnity Holder

a) all damages he may be compelled to pay in suit,

b) all costs incurred in defending the suit,

c) all sums under the terms of compromise in a suit

Implied Indemnity



Partners

Insurance policies are contracts which are in the nature of _____.

- a. Guarantee
- b. Pledge
- c. Bailment
- d. Indemnity

Insurance policies are contracts which are in the nature of _____.

- a. Guarantee
- b. Pledge
- c. Bailment
- d. Indemnity

There are parties in a contract of indemnity _____.

- a. 2
- b. 3
- c. 4
- d. 5

There are parties in a contract of indemnity _____.

- a. 2
- b. 3
- c. 4
- d. 5

A person who is indemnified can recover damages as well as costs for claiming the damages.

- a. True
- b. False

A person who is indemnified can recover damages as well as costs for claiming the damages.

- a. True
- b. False

Where notice has to be given to the indemnifier as per the terms of the indemnity, the indemnity holder has to abide by it, to be entitled to the claim

- a. True
- b. False

Where notice has to be given to the indemnifier as per the terms of the indemnity, the indemnity holder has to abide by it, to be entitled to the claim

- a. True
- b. False

In a contract of indemnity the promisee is the indemnifier.

- a. True
- b. False

In a contract of indemnity the promisee is the indemnifier.

- a. True
- b. False

A contracts to indemnify B against the consequences of any proceedings which C may take against B in respect of a certain sum of 200 rupees.

This is a contract of _____

- a. Bailment
- b. Indemnity
- c. Pledge
- d. Agency

A contracts to indemnify B against the consequences of any proceedings which C may take against B in respect of a certain sum of 200 rupees.

This is a contract of _____

- a. Bailment
- b. Indemnity
- c. Pledge
- d. Agency

A broker in possession of a government promissory note endorsed it to a bank with forged endorsement. The bank acting in good faith applied for and got a renewed promissory note from the Public Debt Office. Meanwhile the true owner sued the Secretary of State for conversion who in turn sued the bank on an/a _____

- a. Implied indemnity
- b. Explicit indemnity
- c. Any of the above
- d. None of the above

A broker in possession of a government promissory note endorsed it to a bank with forged endorsement. The bank acting in good faith applied for and got a renewed promissory note from the Public Debt Office. Meanwhile the true owner sued the Secretary of State for conversion who in turn sued the bank on an/a _____

- a. Implied indemnity
- b. Explicit indemnity
- c. Any of the above
- d. None of the above

Contract of Guarantee

...



Principal Debtor



Creditor



Surety

SECTION 126

INDIAN CONTRACT ACT, 1872

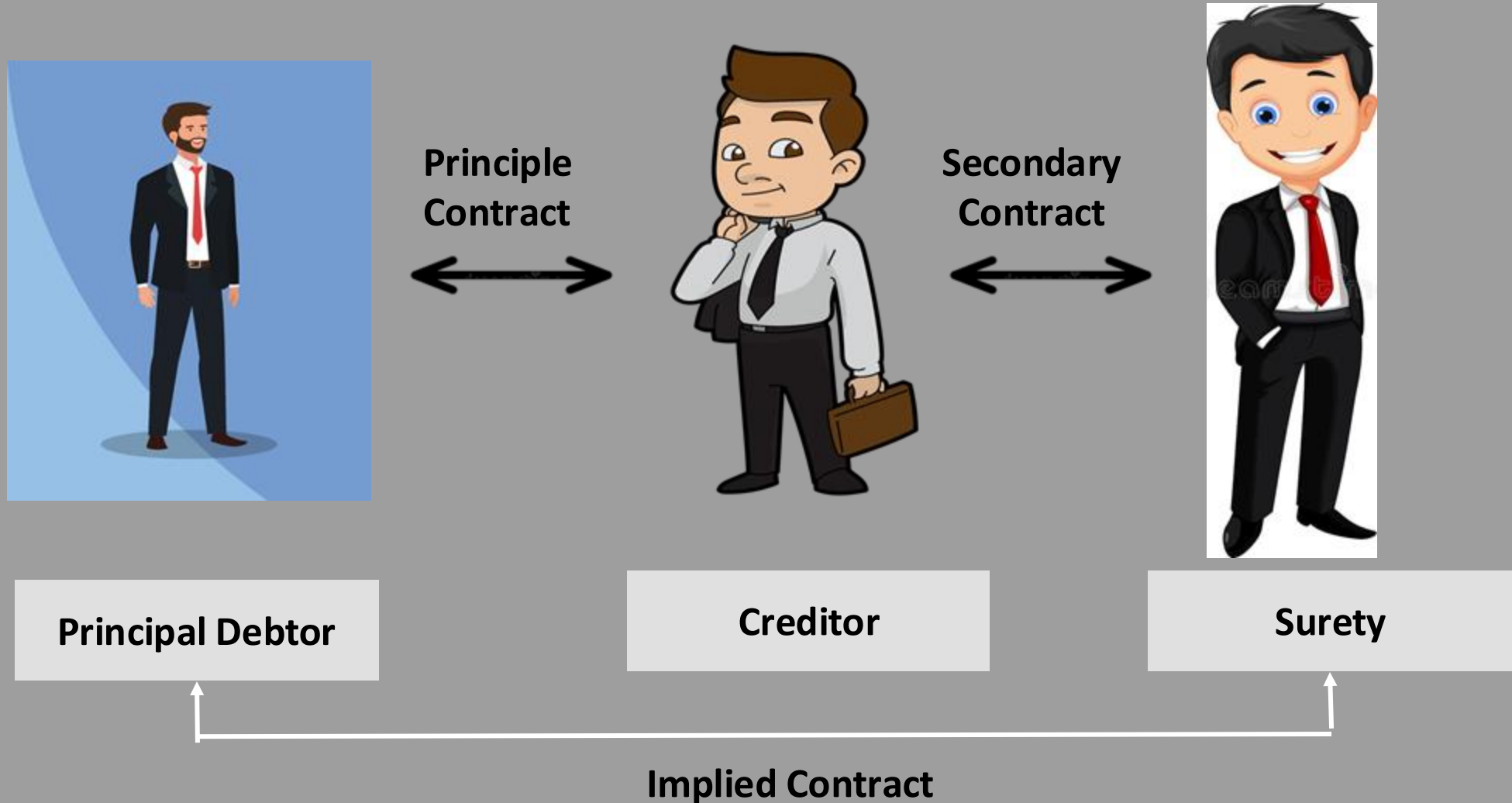
A CONTRACT OF GUARANTEE IS A CONTRACT TO PERFORM THE PROMISE MADE OR DISCHARGE LIABILITY, OF A THIRD PERSON IN CASE OF HIS DEFAULT.

PARTIES :-

1. PRINCIPAL DEBTOR
2. CREDITOR
3. SURETY



Three Contracts in Contract of Guarantee



ESSENTIAL FEATURES OF GUARANTEE

- 1. EXISTENCE OF A PRINCIPAL DEBT**
- 2. CONSIDERATION**
- 3. CONSENT OF SURETY MUST BE FREE CONSENT**
- 4. IT CAN BE ORAL OR WRITTEN**

THE LIABILITY OF THE SURETY

Principal Debtor



Surety

ACCORDING TO SECTION 128

THE LIABILITY OF THE SURETY IS CO-EXTENSIVE WITH THAT OF THE PRINCIPAL DEBTOR UNLESS IT IS OTHERWISE PROVIDED BY THE CONTRACT.

Continuing Guarantee



In a Contract of Indemnity the indemnifier is primarily liable.

- a. True
- b. False

In a Contract of Indemnity the indemnifier is primarily liable.

- a. True
- b. False

In a Contract of Guarantee the liability of the surety is secondary.

- a. True
- b. False

In a Contract of Guarantee the liability of the surety is secondary.

- a. True
- b. False

Anything done for the benefit of the principal debtor is a sufficient consideration to the surety for giving the guarantee.

- a. True
- b. False

Anything done for the benefit of the principal debtor is a sufficient consideration to the surety for giving the guarantee.

- a. True
- b. False

Where there are co-sureties, a release by the creditor of one of them does not discharge the others.

- a. True
- b. False

Where there are co-sureties, a release by the creditor of one of them does not discharge the others.

- a. True
- b. False

Principal debtor need not pay the surety after the surety has paid the amount to the creditor.

- a. True
- b. False

Principal debtor need not pay the surety after the surety has paid the amount to the creditor.

- a. True
- b. False

Surety is also known as the _____ .

- a. Indemnifier
- b. Bailor
- c. Guarantor
- d. Bailee

Surety is also known as the _____ .

- a. Indemnifier
- b. Bailor
- c. Guarantor
- d. Bailee

Liability of the surety is _____ that of the principal debtor.

- a. Co-extensive with
- b. Primary to
- c. Secondary to

Liability of the surety is _____ that of the principal debtor.

- a. Co-extensive with
- b. Primary to
- c. Secondary to

A guarantee which extends to a series of transactions is known as a _____ guarantee.

- a. Continuing
- b. Invalid
- c. Irrevocable
- d. General

A guarantee which extends to a series of transactions is known as a _____ guarantee.

- a. Continuing
- b. Invalid
- c. Irrevocable
- d. General

Surety is _____ if the principal debtor is released by the creditor.

- a. Discharged
- b. Liable

Surety is _____ if the principal debtor is released by the creditor.

- a. Discharged
- b. Liable

Guarantee obtained by _____ is invalid.

- a. Misrepresentation
- b. Consent
- c. Agreement
- d. Contract

Guarantee obtained by _____ is invalid.

- a. Misrepresentation
- b. Consent
- c. Agreement
- d. Contract

B owes to C a debt guaranteed by A. The debt becomes payable. However, C does not sue B for a year after the debt has become payable. Despite this forbearance A is not discharged from his surety-ship.

- a. True
- b. False

B owes to C a debt guaranteed by A. The debt becomes payable. However, C does not sue B for a year after the debt has become payable. Despite this forbearance A is not discharged from his surety-ship.

- a. True
- b. False

A gives a guarantee to C for goods to be supplied by C to B. C supplies goods to B and afterwards B contracts with his creditors (including C) to assign/sell them certain properties of his, in consideration of all the creditors, releasing B from all their demands. Here B is now, after the settlement, not a debtor to C. A is therefore _____ from his surety-ship to C.

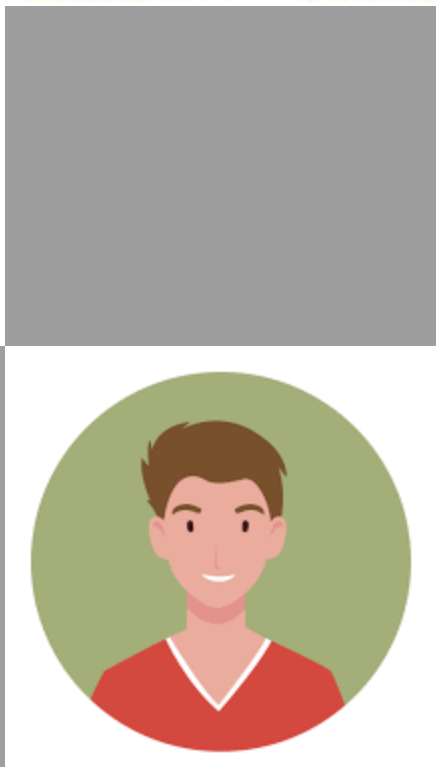
- a. stands liable
- b. discharged
- c. partially discharge

A gives a guarantee to C for goods to be supplied by C to B. C supplies goods to B and afterwards B contracts with his creditors (including C) to assign/sell them certain properties of his, in consideration of all the creditors, releasing B from all their demands. Here B is now, after the settlement, not a debtor to C. A is therefore _____ from his surety-ship to C.

- a. stands liable
- b. discharged
- c. partially discharge

Contract of Bailment

...



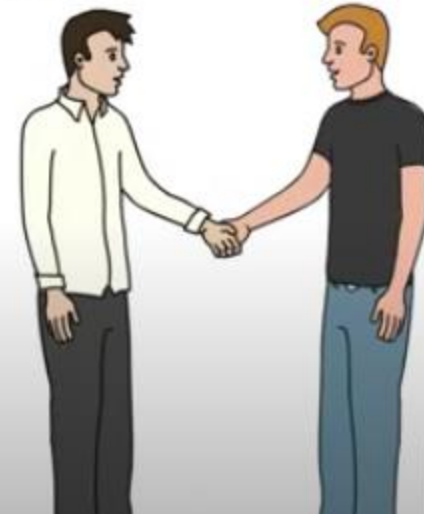
BAILMENT

DELIVERY
OF GOODS



PURPOSE

FROM



Possession



Ownership





Bailor



Wife of Bailor



Bailee

ESSENTIAL PARTS OF CONTRACT OF BAILMENT

- 1. DELIVERY OF POSSESSION.**
- 2. DELIVERY UPON CONTRACT**
- 3. DELIVERY UPON SOME PURPOSE**

DELIVERY



**ACTUAL
DELIVERY**



**SYMBOLIC
DELIVERY**



Can you please lend me your notebook so that I can prepare for my exam.

I will return the notebook tomorrow









WHY? ----->

**Possession is not
transferred**



A gives a guarantee to C for goods to be supplied by C to B. C supplies goods to B and afterwards B contracts with his creditors (including C) to assign/sell them certain properties of his, in consideration of all the creditors, releasing B from all their demands. Here B is now, after the settlement, not a debtor to C. A is therefore _____ from his surety-ship to C.

- a. stands liable
- b. discharged
- c. partially discharge

Bailor is a person who delivers his goods to the surety to enable him to give a guarantee.

- a. True
- b. False

Bailor is a person who delivers his goods to the surety to enable him to give a guarantee.

- a. True
- b. False

Bailee can use the goods given by the bailor, in the manner as he likes.

- a. True
- b. False

Bailee can use the goods given by the bailor, in the manner as he likes.

- a. True
- b. False

The bailee can keep the goods bailed to him and he need not return the same to the bailor.

- a. True
- b. False

The bailee can keep the goods bailed to him and he need not return the same to the bailor.

- a. True
- b. False

Giving a product on rent for use to another person is a contract of bailment.

- a. True
- b. False

Giving a product on rent for use to another person is a contract of bailment.

- a. True
- b. False

If ornaments kept in the safe locker of bank are stolen, in spite of due care by the bank, the bank is liable to the depositor of ornaments.

- a. True
- b. False

If ornaments kept in the safe locker of bank are stolen, in spite of due care by the bank, the bank is liable to the depositor of ornaments.

- a. True
- b. False

It is the obligation of the bailee to keep his goods separate from the goods of the bailor.

- a. True
- b. False

It is the obligation of the bailee to keep his goods separate from the goods of the bailor.

- a. True
- b. False

The bailor is liable for any loss to the bailee if the goods bailed are defective and the bailor knowingly does not disclose this fact to the bailee.

- a. True
- b. False

The bailor is liable for any loss to the bailee if the goods bailed are defective and the bailor knowingly does not disclose this fact to the bailee.

- a. True
- b. False

If the bailee has rendered any service involving the exercise of labour or skill in respect of the goods bailed to him, he has a right to retain such goods until he receives due remuneration for the services he has rendered.

- a. True
- b. False

If the bailee has rendered any service involving the exercise of labour or skill in respect of the goods bailed to him, he has a right to retain such goods until he receives due remuneration for the services he has rendered.

- a. True
- b. False

For a contract of bailment to be valid there should always be a contract between parties in writing.

- a. True
- b. False

For a contract of bailment to be valid there should always be a contract between parties in writing.

- a. True
- b. False

For a valid bailment, possession of bailed goods with the bailee is a must.

- a. True
- b. False

For a valid bailment, possession of bailed goods with the bailee is a must.

- a. True
- b. False

A gives some cloth to B, a tailor, to make into a coat. B promises to deliver the coat as soon as it is finished and to give a three months credit for the price. B is not entitled to retain the coat till he is paid. This is _____

- a. Bailee's Lien
- b. Consideration to Contract
- c. Indemnity
- d. Guarantee

A gives some cloth to B, a tailor, to make into a coat. B promises to deliver the coat as soon as it is finished and to give a three months credit for the price. B is not entitled to retain the coat till he is paid. This is _____

- a. Bailee's Lien
- b. Consideration to Contract
- c. Indemnity
- d. Guarantee

A bails a bag of flour worth Rs. 100 a bag to B. B without A's consent mixes the flour with another flour worth Rs. 75 a bag. B must compensate A for the loss in value of his flour. Is the case correct?

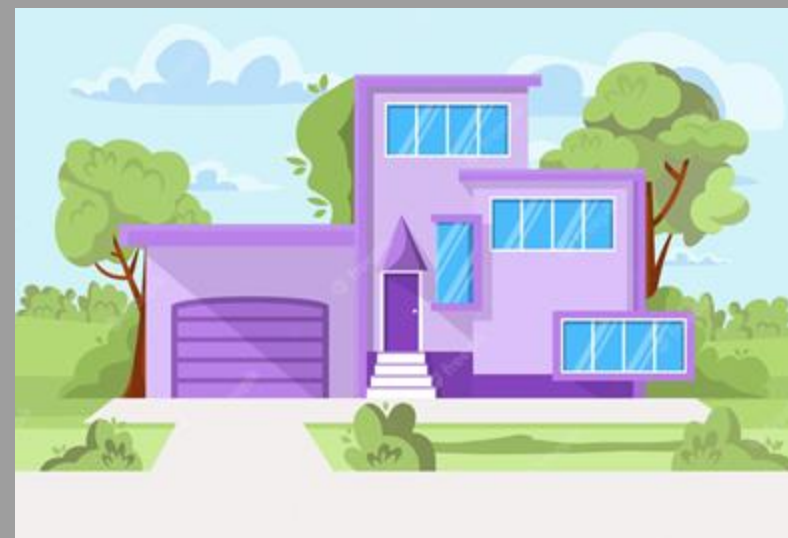
- a. Yes
- b. No, as the compensation will be for Rs. 100

A bails a bag of flour worth Rs. 100 a bag to B. B without A's consent mixes the flour with another flour worth Rs. 75 a bag. B must compensate A for the loss in value of his flour. Is the case correct?

- a. Yes
- b. No, as the compensation will be for Rs. 100

Contract of Pledge

...



Goods Pledge

Pawnor

Pawnee

**In return of
Loan Grant**

Pledger

Pledgee

In a pledge, the goods are delivered to be kept as security for a debt or for performance of a promise.

- a. True
- b. False

In a pledge, the goods are delivered to be kept as security for a debt or for performance of a promise.

- a. True
- b. False

The pawnee can sell the goods, if the pawnor fails to pay.

- a. True
- b. False

The pawnee can sell the goods, if the pawnor fails to pay.

- a. True
- b. False

The pawnee can sell the goods without giving notice to the pawnor.

- a. True
- b. False

The pawnee can sell the goods without giving notice to the pawnor.

- a. True
- b. False

The pawnee can keep the goods even after the pawnor has paid the dues.

- a. True
- b. False

The pawnee can keep the goods even after the pawnor has paid the dues.

- a. True
- b. False

The pawnee/pledgee can re-pledge the pledged goods

- a. True
- b. False

The pawnee/pledgee can re-pledge the pledged goods

- a. True
- b. False



Principal



Agent



Third Party

Illustration 1

X buys goods from Z, knowing that he is an agent for their sale, but not knowing who the principal is.

Z's principal is the person entitled to claim from X the price of the goods, and X cannot, in a suit by the principal, set-off against that claim a debt due to himself from Z.

Illustration 2

A, being B's agent with authority to receive money on his behalf, receives from C a sum of money due to B.

C is discharged of his obligation to pay the sum in question to B.”

Which one of the following is essential for a valid contract of agency?

- a. The agent need not have capacity to contract
- b. The agent need not have capacity to contract (b) The principal should have capacity to
- c. Consideration is a must for appointing an agent
- d. All the above

Which one of the following is essential for a valid contract of agency?

- a. The agent need not have capacity to contract
- b. The principal should have capacity to contract
- c. Consideration is a must for appointing an agent
- d. All the above

The agent is appointed to act as a connecting link and bring the principal into a binding contractual relationships with third persons.

- a. True
- b. False

(a) The agent is appointed to act as a connecting link and bring the principal into a binding contractual relationships with third persons.

- a. True
- b. False

Under the Indian Contract Act 1872, a principal could be a minor..

- a. True
- b. False

Under the Indian Contract Act 1872, a principal could be a minor..

- a. True
- b. False

An agent could be a minor, as per the provisions of the Indian Contract Act, 1872

- a. True
- b. False

An agent could be a minor, as per the provisions of the Indian Contract Act, 1872

- a. True
- b. False

By implication, the work done by an agent for a principal is equivalent to work done by the principal himself/herself

- a. True
- b. False

By implication, the work done by an agent for a principal is equivalent to work done by the principal himself/herself

- a. True
- b. False

In the absence of contract to the contrary, an agent may retain goods, papers etc. whether movable or immovable, belonging to the principal received by him or in his possession until the amount due to him in respect of such goods etc. has been paid or accounted for to him

- a. True
- b. False

In the absence of contract to the contrary, an agent may retain goods, papers etc. whether movable or immovable, belonging to the principal received by him or in his possession until the amount due to him in respect of such goods etc. has been paid or accounted for to him

- a. True
- b. False

Indian Partnership Act, 1932

...

**Introduction to
Indian
Partnership
Act,1872**


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graph LR; A((Introduction to Indian Partnership Act,1872)) --- B(Applicable to whole of India); A --- C(Came into force on 1st October 1932); A --- D(Section 1-74); A --- E(Earlier was a part of ICA,1872)
```

Applicable to whole of India

Came into force on 1st October 1932

Section 1-74

Earlier was a part of ICA,1872

Why do people enter into partnership ? (Layman Language)



Mr.A



Mr.B



Mr.C



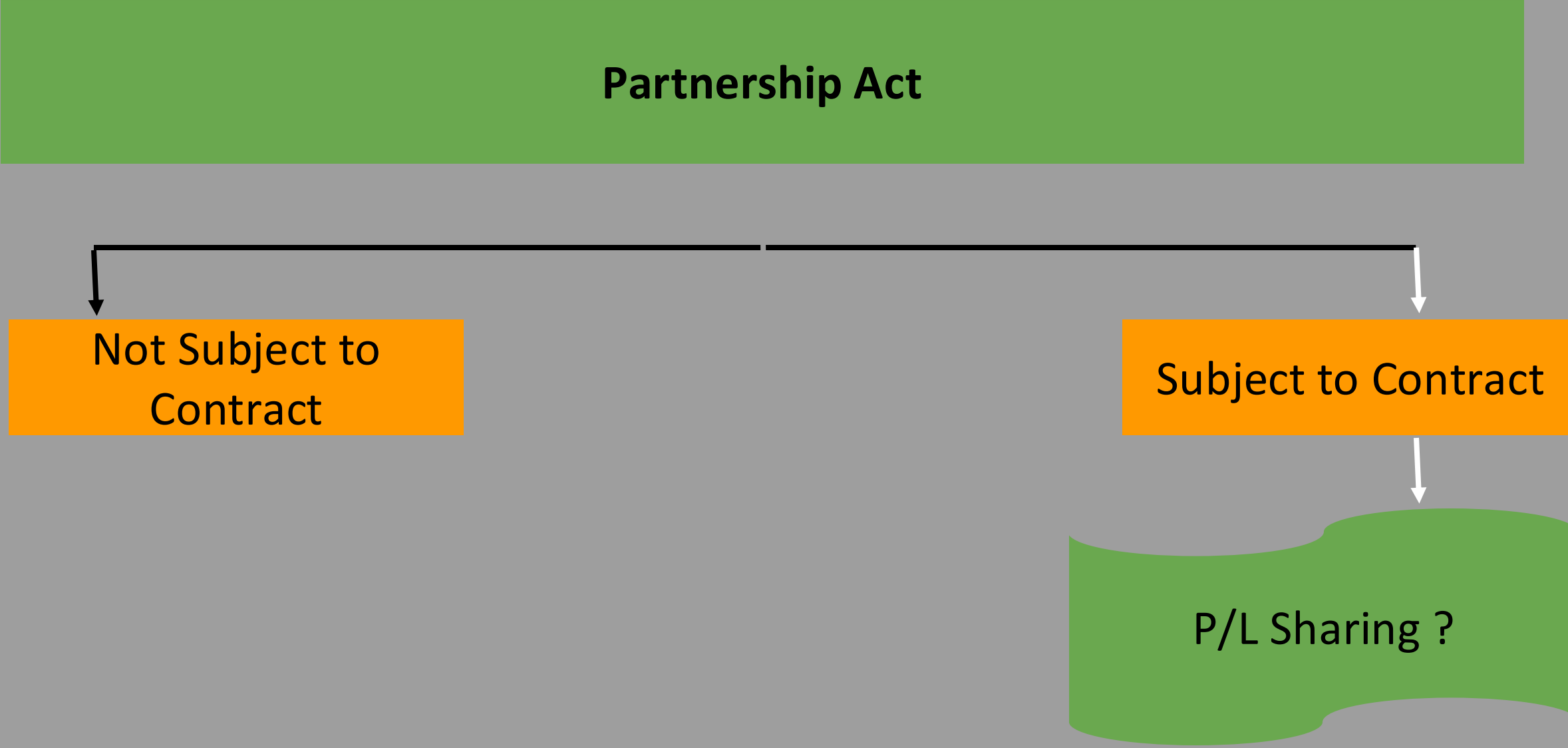
Expertise of other person - Skill & Experience

Resources of Other Person

Sharing of Responsibilities

Increase in risk taking appetite

Partnership Act



```
graph TD; A[Partnership Act] --> B[Not Subject to Contract]; A --> C[Subject to Contract]; C --> D[P/L Sharing ?]
```

The diagram is a flowchart on a gray background. At the top is a green rectangular box labeled 'Partnership Act'. A horizontal line extends from the bottom of this box, with a black arrow pointing down to an orange box on the left labeled 'Not Subject to Contract' and a white arrow pointing down to an orange box on the right labeled 'Subject to Contract'. From the bottom of the 'Subject to Contract' box, a white arrow points down to a green box with a wavy top and bottom, labeled 'P/L Sharing ?'.

Not Subject to
Contract

Subject to Contract

P/L Sharing ?

Essential Characteristics

Association of
2 or More
Persons

The
partnership
must be
result of an
agreement
entered into
by all persons
concerned

Partnership is
organized on
some
business

The
agreement
must be
share the
profits on the
business

The **business**
must be
carried on by
all or any of
them acting
for all

Association of 2 or more persons

Association of 2 or more persons

only person recognised by law can become partners

Firm cannot partner in another firm but company can become a partner

Minor cannot become partner in the firm but can be admitted to the benefits of the firm with consent of all other partners

Minimum 2 Maximum 100 (Sec 464 of Companies Act ,2013)

Agreement

Partnership must be a result of an agreement

Nature of partnership is voluntary & contractual

Agreement can be express or implied

Agreement may be oral or written

Minimum 2 Maximum 100 (Sec 464 of Companies Act ,2013)

Mutual Agency



Business carried on by ALL or ANY OF THEM ACTING FOR ALL

Cardinal Principle of partnership law

Every partner is a principal as well as agent of other partners for the purpose of business

True test of partnership is mutual agency

Conclusive evidence of partnership

Types of Partnership

Partnership at will

Partnership for a
fixed period

Particular
partnership

Sec 9

Bound to carry business to the **greatest common advantage**

Just & Faithful to each other

To render true accounts to other partners or their legal representative

To render full information of all things affecting firm to other partners or their legal representative

How to determine rights & duties of each partner- Sec 11

Subject to the provisions of the Act

Rights & Duties determined by the contract between the partner

Contract can be express or implied

Contract can be only changed with the consent of all the partners

Rights & Duties of Partners in Conduct of Business

Subject
to
Contract

Every partner has the right to take part in the conduct of the business

Every partner is bound to attend diligently to his duties in the contract of the business

Every partner has the right to express his opinion on business matters

Ordinary matters are decided by majority of partners

Change in nature of business require consent of all the partners

Every partner and his duly authorised agent has the right to have access to/inspect/take copy of firm

In event of death, partner's legal representative has the right to have access/inspect/take copy of firm

Mutual rights and duties of partners-Sec 13

Subject
to
Contract

Partner is not entitled to take any remuneration to participate in conduct of business firm

Both P/L should be shared equally amongst partners

Where a partner is entitled to interest on capital subscribed by him such interest shall be payable only out of profits;

partners making , for purposes of business ,any payment or advance beyond the amount of capital he has agreed to subscribe, is entitled to interest thereon at the rate of 6% p.a

firms shall indemnify a partner in respect of payments made and liabilities incurred by him

(a) If one partner cheats a customer of the partnership firm then all the partners of the partnership firm are liable to compensate the customer.

- a. True
- b. False

(a) If one partner cheats a customer of the partnership firm then all the partners of the partnership firm are liable to compensate the customer.

- a. True
- b. False

(b) Registration of firms is compulsory under the Partnership Act.

- a. True
- b. False

(b) Registration of firms is compulsory under the Partnership Act.

- a. True
- b. False

(c) It is compulsory to enter into a partnership deed.

a. True

b. False

(c) It is compulsory to enter into a partnership deed.

a. True

b. False

(d) The partners are free to decide their mutual rights and liabilities.

a. True

b. False

(d) The partners are free to decide their mutual rights and liabilities.

a. True

b. False

(e) A partnership deed can even provide that a particular partner would not take part in the dayto-day business decisions of the partnership firm.

- a. True
- b. False

(e) A partnership deed can even provide that a particular partner would not take part in the dayto-day business decisions of the partnership firm.

- a. True
- b. False

(f) Consent of all the partners is necessary to change the nature of business carried on by the firm.

- a. True
- b. False

(f) Consent of all the partners is necessary to change the nature of business carried on by the firm.

- a. True
- b. False

(g) A partnership at will can be dissolved by notice.

- a. True
- b. False

(g) A partnership at will can be dissolved by notice.

- a. True
- b. False

(h) A Limited Liability Partnership Firm can be constituted as per the provisions of the Partnership Act, 1932

- a. True
- b. False

(h) A Limited Liability Partnership Firm can be constituted as per the provisions of the Partnership Act, 1932

- a. True
- b. False

(i) A partnership can arise out of an inheritance

a. True

b. False

(i) A partnership can arise out of an inheritance

a. True

b. False

(j) The contract of partnership can be express or implied.

- a. True
- b. False

(j) The contract of partnership can be express or implied.

- a. True
- b. False

(a) Every partner has a right to receive remuneration.

- a. True
- b. False

(a) Every partner has a right to receive remuneration.

- a. True
- b. False

(b) It is necessary that all the partners in the partnership firm must receive equal share of profits in the partnership firm.

- a. True
- b. False

(b) It is necessary that all the partners in the partnership firm must receive equal share of profits in the partnership firm.

- a. True
- b. False

(c) No partner is entitled to use the partnership property for his private purposes.

- a. True
- b. False

(c) No partner is entitled to use the partnership property for his private purposes.

- a. True
- b. False

PARTNER IS AN AGENT OF THE FIRM



A partner can make the firm liable by his acts, if done in the **name of the firm** and in the ordinary course of business of the firm.



A partner, who contracts in **his own name**, incurs only a personal liability and the firm is not liable for the contracts entered in to in his personal name.

(a) A single partner can be authorized to carry on business and sign documents on behalf of the firm.

- a. True
- b. False

(a) A single partner can be authorized to carry on business and sign documents on behalf of the firm.

- a. True
- b. False

(b) Every partner is liable jointly with all other partners and also severally for all acts of the firm done while he is a partner.

a. True

b. False

(b) Every partner is liable jointly with all other partners and also severally for all acts of the firm done while he is a partner

- a. True
- b. False

(c) Misapplication means taking property or money from a third party and using it for the purpose for which it was taken in the interest of the partnership firm.

- a. True
- b. False

(c) Misapplication means taking property or money from a third party and using it for the purpose for which it was taken in the interest of the partnership firm..

- a. True
- b. False

(d) When a person who is not at all a partner in a firm, either represents himself, or knowingly permits himself to be represented, as a partner in a firm and as a result of this, he induces others to give credit to the firm then this act is known as _____.

- a. Outsourcing
- b. Holding on
- c. Holding out
- d. Holding to

(d) When a person who is not at all a partner in a firm, either represents himself, or knowingly permits himself to be represented, as a partner in a firm and as a result of this, he induces others to give credit to the firm then this act is known as _____.

- a. Outsourcing
- b. Holding on
- c. Holding out
- d. Holding to

MINOR CANNOT BE A PARTNER

Minor Cannot Be A Partner

The minor has a right to share the property and profits of the firm as may be agreed upon by the partners and the minor can have access to the accounts of the firm.

Section 30(1/2/3)

As explained earlier, the partners of the firm are personally liable for all the liabilities of the firm.

However, only the minor's share is liable for the acts of the firm but the minor is not personally liable for the acts of the firm and the liabilities arising there from. ”

The minor may or may not take legal action (by filing suit) against the partners for payment of his share of the property or profits of the firm except when severing (ending) his connection with the firm. This is provided in Section 30(4). As per this section

“Such minor may not sue the partners for an account or payment of his share of the property or profits of the firm, save when severing his connection with the firm, and in such case the amount of his share shall be determined by a valuation made as far as possible in accordance with the rules contained in section 48

LEGAL POSITION AFTER THE MINOR ATTAINS MAJORITY



within six months of his attaining majority

**or of his obtaining knowledge that he had been
admitted to the benefits of partnership**

**(whichever date is
later)**

Dissolution

Dissolution of a Firm

Dissolution of
Partnership

Effect of Non-Registration

Unregistered firm cannot sue the third party

Third party can sue registered and unregistered firm

No relief for sett off of claim for more than Rs. 100

Partner cannot file suit against unregistered firm or other partners except for dissolution or for accounts and realisation of his share on dissolution

(a) A minor can be a partner in a partnership firm.

- a. True
- b. False

(a) A minor can be a partner in a partnership firm.

a. True

b. False

(b) A minor can be admitted to the benefits of a partnership firm.

- a. True
- b. False

(b) A minor can be admitted to the benefits of a partnership firm.

- a. True
- b. False

(c) A minor is personally liable like other partners to pay the debts of the firm.

- a. True
- b. False

(c) A minor is personally liable like other partners to pay the debts of the firm.

- a. True
- b. False

(d) A minor who is admitted to the benefits of a partnership firm, has a choice when he attains majority as to whether he wants to continue as a partner or not.

- a. True
- b. False

(d) A minor who is admitted to the benefits of a partnership firm, has a choice when he attains majority as to whether he wants to continue as a partner or not.

- a. True
- b. False

(e) A minor partner on attaining majority has to give a public notice within 15 days of attaining majority.

- a. True
- b. False

(e) A minor partner on attaining majority has to give a public notice within 15 days of attaining majority.

- a. True
- b. False

(f) A minor partner who has attained majority may give public notice to the effect whether he has elected to become a partner or not.

- a. True
- b. False

(f) A minor partner who has attained majority may give public notice to the effect whether he has elected to become a partner or not.

- a. True
- b. False

(a) The partners can mutually agree and dissolve the firm.

- a. True
- b. False

(a) The partners can mutually agree and dissolve the firm.

- a. True
- b. False

(b) On the death of a partner the partnership firm is compulsorily dissolved.

- a. True
- b. False

(b) On the death of a partner the partnership firm is compulsorily dissolved.

- a. True
- b. False

(a) A partner of an unregistered firm can file a suit against other partners to get his share of profits.

- a. True
- b. False

(a) A partner of an unregistered firm can file a suit against other partners to get his share of profits.

- a. True
- b. False

(b) The enforcement of any right to sue, for matters relating to the dissolution of a firm is not affected and can be brought before the Court of Law.

- a. True
- b. False

(b) The enforcement of any right to sue, for matters relating to the dissolution of a firm is not affected and can be brought before the Court of Law.

- a. True
- b. False

Companies Act, 2013

...

Features of a Company

Registration

Artificial Legal Person

Separate Legal Entity

Limited Liability

Perpetual Succession

Separate Property

Transfer of Shares

Common Seal

Corporate Viel

Artificial Legal Person

Why Artificial? Company is created by process other than natural process

Why Legal? Created by Law

Why Person? Company has almost all powers similar to that of a person (Except a few)

- Own & Sell Property
- Own Bank Account
- Raise Loans
- Enter into Contract

- Cannot be sent to jail
- Cannot take oath
- Cannot practice profession
- Cannot marry

Types of Companies

There are various types of companies that can be formed under the Companies Act, 1956/2013 and

They can be classified as per

The mode of incorporation,

- ★ On the basis of liability,
- ★ On the basis of public interest and
- ★ As holding and subsidiary companies

This unit examines these in brief.

This unit also examines a few additional varieties/ forms of companies included with the enactment of in the Companies Act, 2013.

(a) Directors are the actual owners of a company.

a. True

b. False

(a) Directors are the actual owners of a company.

a. True

b. False

(b) A company has to be compulsorily registered under the Companies Act, 2013.

- a. True
- b. False

(b) A company has to be compulsorily registered under the Companies Act, 2013.

- a. True
- b. False

(c) A company cannot enter into contracts in its own name.

a. True

b. False

(c) A company cannot enter into contracts in its own name.

a. True

b. False

(d) If all the members of a company die, then the company has to be wound up (i.e., dissolved).

- a. True
- b. False

(d) If all the members of a company die, then the company has to be wound up (i.e., dissolved).

- a. True
- b. False

(e) A Company is a legal person with perpetual succession

a. True

b. False

(e) A Company is a legal person with perpetual succession

- a. True
- b. False

(a) In case of a company limited by shares the creditors of the company can recover the money from the members if the company is not making profits.

- a. True
- b. False

(a) In case of a company limited by shares the creditors of the company can recover the money from the members if the company is not making profits.

- a. True
- b. False

(b) A member cannot transfer shares in a public company without the consent of other members.

- a. True
- b. False

(b) A member cannot transfer shares in a public company without the consent of other members.

- a. True
- b. False

(c) A prospectus is generally issued by a Public Limited Company

- a. True
- b. False

(c) A prospectus is generally issued by a Public Limited Company

- a. True
- b. False

(d) The minimum number of members required in a private company is

- a. 3
- b. 7
- c. 12
- d. 2

(d) The minimum number of members required in a private company is

- a. 3
- b. 7
- c. 12
- d. 2

(e) The minimum number of members required in a public company is

- a. 3
- b. 7
- c. 12
- d. 2

(e) The minimum number of members required in a public company is

- a. 3
- b. 7
- c. 12
- d. 2

(f) The maximum number of members in a private company can be .

- a. 7
- b. 12
- c. 50
- d. 200

(f) The maximum number of members in a private company can be .

- a. 7
- b. 12
- c. 50
- d. 200

(g) The maximum number of members in a public company can be

- a. any number
- b. 12
- c. 50
- d. 15

(g) The maximum number of members in a public company can be

- a. any number
- b. 12
- c. 50
- d. 15

(h) A private company should have a minimum paid-up capital of Rupees

- a. Five Crore
- b. Five Lakhs
- c. One Crore
- d. One Lakh
- e. No Minimum Requirement

(h) A private company should have a minimum paid-up capital of Rupees

- a. Five Crore
- b. Five Lakhs
- c. One Crore
- d. One Lakh
- e. No Minimum Requirement

(i) A public company should have a minimum paid-up capital of Rupees .

- a. Five Crore
- b. Five Lakhs
- c. One Crore
- d. One Lakh
- e. No Minimum Requirement

(i) A public company should have a minimum paid-up capital of Rupees .

- a. Five Crore
- b. Five Lakhs
- c. One Crore
- d. One Lakh
- e. No Minimum Requirement

(j) In a government company the government holds at least per cent of the paid-up capital

- a. 12
- b. 15
- c. 50
- d. 51

(j) In a government company the government holds at least per cent of the paid-up capital

- a. 12
- b. 15
- c. 50
- d. 51

MEMORANDUM OF ASSOCIATION

Charter of the Company

Contains the object of the Company

Identifies the possible scope of its operations & powers of the Company

MoA is a public document (Anyone can get the copy by paying a nominal fee)

Deemed Assumption - Everyone dealing with Co. has knowledge of the content of MoA

Standard format of MoA is given for each type of company

Form of MOA as per Schedule I	Type of Company
Table A	Company limited by shares
Table B	The company not having share capital and is limited by a guarantee
Table C	Company with share capital and limited by guarantee
Table D	The company not having share capital and unlimited liability
Table E	A company having share capital and unlimited liability

Name Clause- Name of Company

Registered Office Clause-Only name of State

Object Clause- Main Object & Incidental

Limited Liability Clause- Limited by share/guaranteed/unlimited

Capital Clause- Only Applicable to Company limited by Shares

Association Clause- Every Subscriber must take at least 1 share

Name Clause (Applicable to OPC)- In death of subscriber who will become member

ARTICLES OF ASSOCIATION

Contains Regulations- contain the regulations of management of the company

Other matters- Contains matters as prescribed under the Rules

Contains provisions for Entrenchment

Manner of Inclusion of Entrenchment

Notice to Registrar of the Entrenchment Provisions

Forms of Articles :- Table F,G, H, I & J in Schedule I

In case of conflict between the memorandum of association and articles of association, the articles of association prevail.

- a. True
- b. False

In case of conflict between the memorandum of association and articles of association, the articles of association prevail.

- a. True
- b. False

One of the clauses contained in the Memorandum of Association is known as the 'Objective Clause

- a. True
- b. False

One of the clauses contained in the Memorandum of Association is known as the 'Objective Clause

- a. True
- b. False

The memorandum and articles of a Company, once registered, bind the firm.

- a. True
- b. False

The memorandum and articles of a Company, once registered, bind the firm.

- a. True
- b. False

DOCTRINE OF ULTRA VIRES



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http://classroomclipart.com





Doctrine of ultra vires lays down that every outsider is assumed to have read the memorandum of association and articles of association.

- a. True
- b. False

Doctrine of ultra vires lays down that every outsider is assumed to have read the memorandum of association and articles of association.

- a. True
- b. False

Doctrine of constructive notice states that the outsiders are not required to see the compliance of internal regulations of the company.

- a. True
- b. False

Doctrine of constructive notice states that the outsiders are not required to see the compliance of internal regulations of the company.

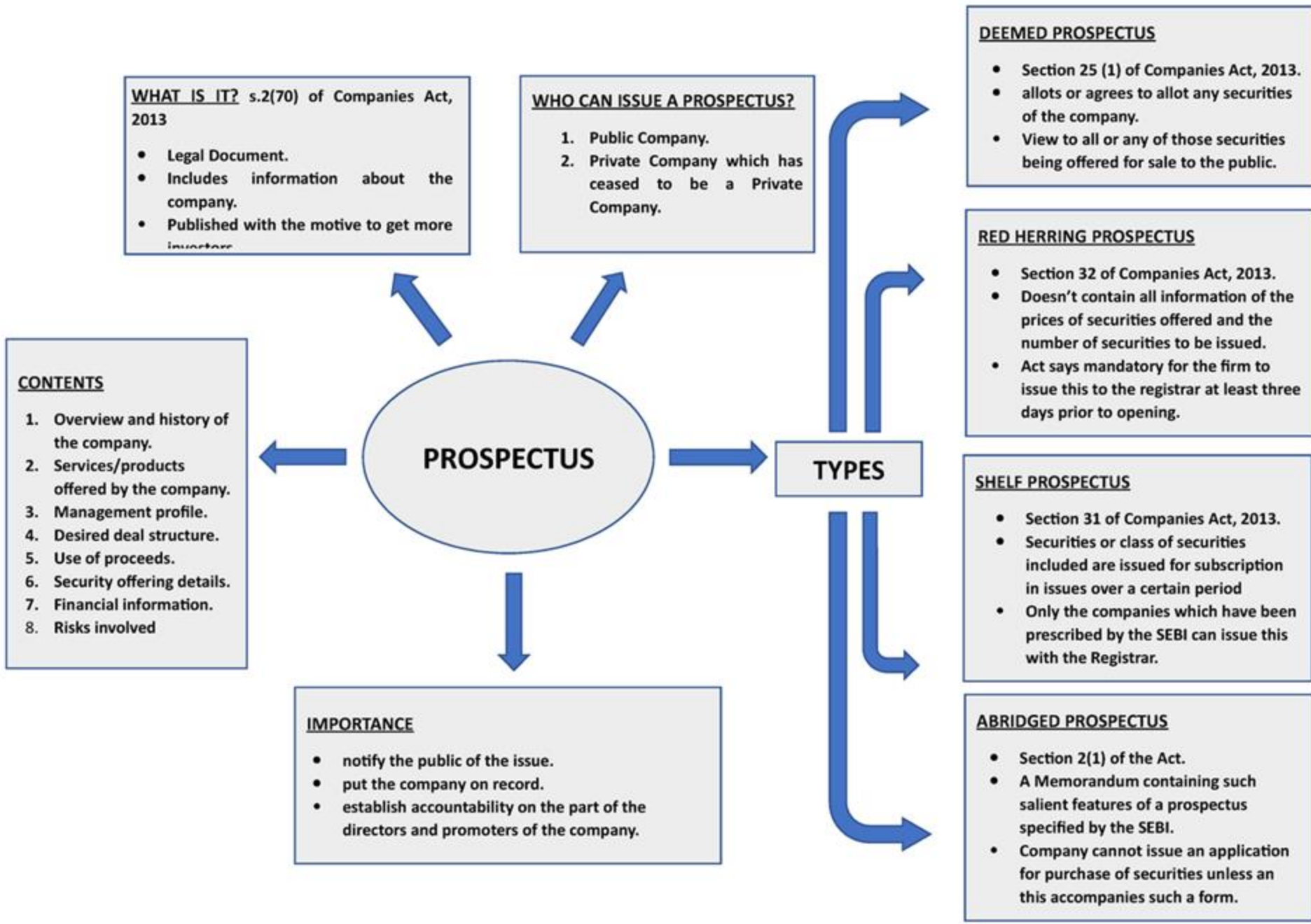
- a. True
- b. False

Doctrine of indoor management lays down that a company cannot carry on the objects not permitted by its memorandum of association.

- a. True
- b. False

Doctrine of indoor management lays down that a company cannot carry on the objects not permitted by its memorandum of association.

- a. True
- b. False



Misstatement in Prospectus

```
graph TD; A[Misstatement in Prospectus] -.-> B[In Prospectus]; B --> C[Information]; C --> D["★ Misleading or;  
★ False or;  
★ Untrue or;  
★ Non-Disclosure of any Material Fact"]
```

In Prospectus

Information

- ★ Misleading or;
- ★ False or;
- ★ Untrue or;
- ★ Non-Disclosure of any Material Fact

GOLDEN RULE OF FRAMING PROSPECTUS

Prospectus

Content/Information : CORRECT
Full Disclosure about the company

Minimum Number of Directors [Sec. 148]

```
graph TD; A[Minimum Number of Directors [Sec. 148]] --> B[Public]; A --> C[Private]; A --> D[OPC]; B --> E[Minimum: 3]; C --> F[Minimum: 2]; D --> G[Only 1]; E --- H[Maximum: 15 ★]; F --- H; G --- H;
```

Public

Minimum: 3

Private

Minimum: 2

OPC

Only 1

Maximum: 15





More than 15 Directors



After Passing a Special Resolution



Provided that such class/es of companies as may be prescribed shall have **at-least one WOMAN DIRECTOR**

Note:

Every Co. should have at least 1 Resident of India

Every Public Co. shall have at least $\frac{1}{3}$ rd of total number as Independent Directors

Independent Directors [Sec 149(4)]

Following companies should have an ID

A) Every Listed Public Company
1/3rd of its Directors have to be ID
(Any fraction after 1/3rd shall be rounded off as 1)

B) Such other class or classes of Public Cos. , which has:

- ★ PUSC of Rs. 10 Cr. or
- ★ T/O of Rs. 100 Cr. or
- ★ Total O/S loans/deb/deposit of rs. 50 Cr

Unlisted Company:
Atleast 2 ID

Unlisted Companies Exempt from the limit: a) Dormant Cos.
b) Wholly owned Subsidiaries c) Joint Venture

Role of Independent Director

Impartial
Judgement

Maintain
Transparency

Ensuring good
Govenance

Taking Strategic
Decisions

Section 149(6) - Who can become ID?

- 1) In Opinion of Board person of integrity, possesses expertise, experience
- 2) Not a promoter
- 3) Not related to promoters/ directors
- 4) No pecuniary relationship, other than remuneration as such director or having transaction not exceeding ten per cent. of his total income or such amount as may be prescribed with company/ its holding/ subsidiary/ associate or promoters/ directors, during 2 immediately preceding FY or current FY Not applicable to Govt Co.
- 5) None of whose relatives -
 - a) is holding any security of or interest in co., its holding, subsidiary or associate co. during 2 immediately preceding FY. or during current FY. Provided that relative may hold security or interest in co. of FV not exceeding 50L Rs. or 2% of paid-up capital
 - b) is indebted to co., its holding, subsidiary or associate company or their promoters, or directors, in excess of such amount as may be prescribed during 2 immediately preceding FY. or current FY.
 - c) has given a guarantee or provided any security in connection with indebtedness of any 3rd person to co., its holding, subsidiary or associate co. or their promoters, or directors, for Rs. 50L during 2 immediately preceding FY or current FY; or
 - d) has any other pecuniary transaction or relationship with co., or its subsidiary, or its holding or associate co. amounting to 2% or more of its gross turnover or total income singly or in combination with transactions referred to in sub-clause (i), (ii) or (iii)

1. Indicate whether the following statement is True or False.

(a) There are no remedies available for misstatements in prospectus by directors.

1. Indicate whether the following statement is True or False.

(a) There are no remedies available for misstatements in prospectus by directors. **(False)**

1. Indicate whether the following statement is True or False.

(b) A company proposing to issue a red herring prospectus shall file it with the Registrar at least three days prior to the opening of the subscription list and the offer.

(b) A company proposing to issue a red herring prospectus shall file it with the Registrar at least three days prior to the opening of the subscription list and the offer. **(True)**

Fill in the blanks from the options given in the brackets.

- (a) The maximum number of directors in a private company can be _____
(3/7/12/15)

Fill in the blanks from the options given in the brackets.

- (a) The maximum number of directors in a private company can be _____
(3/7/12/15)

Fill in the blanks from the options given in the brackets.

(b) The maximum number of directors in a public company can be _____
(3/7/12/15)
)

Fill in the blanks from the options given in the brackets.

(b) The maximum number of directors in a public company can be _____
(3/7/12/15)
)

Fill in the blanks from the options given in the brackets.

(c) The minimum number of directors required in a public company is

(3/7/12/15)

Fill in the blanks from the options given in the brackets.

(c) The minimum number of directors required in a public company is

(3/7/12/15)

Fill in the blanks from the options given in the brackets.

(d) The minimum number of directors required in a private company is
_____ (3/7/2/15)

Fill in the blanks from the options given in the brackets.

(d) The minimum number of directors required in a private company is

(3/7/2/15)

(e) At least _____ of the total number of directors of a public company are to be persons whose period of office is liable to determination by retirement by rotation.

(2/3/7/two-third)

(e) At least _____ of the total number of directors of a public company are to be persons whose period of office is liable to determination by retirement by rotation.

(2/3/7/two-third)

(f) Every public company, or a private company which is a subsidiary of a public company, having a paid-up share capital of Rupees _____ must have a managing or whole-time director or a manager.

(five crore/five lakh/one crore/one lakh/Nil)

(f) Every public company, or a private company which is a subsidiary of a public company, having a paid-up share capital of Rupees _____ must have a managing or whole-time director or a manager.

(five crore/five lakh/one crore/one lakh/Nil)

(g) Additional directors are appointed by the _____.

(board of directors/promoters/underwriters/shareholders)

(g) Additional directors are appointed by the _____.

(board of directors/promoters/underwriters/shareholders)

(h) Alternate directors are appointed by the _____.

(board of directors/promoters/underwriters/shareholders)

(h) Alternate directors are appointed by the _____.

(board of directors/promoters/underwriters/shareholders)

(i) Casual vacancies in the board of directors is filled in by the _____ .

(board of directors/promoters/underwriters/shareholders)

(i) Casual vacancies in the board of directors is filled in by the _____ .

(board of directors/promoters/underwriters/shareholders)



JAIB CAIB
PREP



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JAIB CAIB
PREP